

D-Mobile Warranty Product Proposal

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Strategic Overview: Profitable, Risk-Controlled Warranty Product

Market Opportunity

- Devices retail \$599-999, creating *high financial exposure*
- Customer seek *protection* for high-value electronics

Customer Need

- Protection from unpredictable and predatory repair prices

Our Solution

- 1-year warranty
- Satisfies customer concerns and provides revenue for D-Mobile

Overall Product Goals



Goal: Develop a Warranty Product that Balances Customer Value and Profitability

Product Design Goals

- Protect customers from costly device repairs
- Create a profitable revenue
- Improve customer retention
- Manage claim risk through pricing and product design

Coverage Included

- Battery Repair
- Full Replacement
(Changes with product tier)
- Screen Repair
- Other Repairs

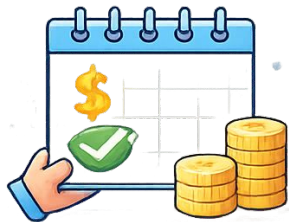


Delivering Value to D-Mobile Customers



Financial Protection

- Coverage for accidental damage



Predictable Cost

- Fixed monthly or annual pricing
- *Eliminates* unsuspected repair expenses



Convenience

- Prepaid shipping
- Simple claims process
- Replacement if device *cannot* be repaired

Generating Strategic Value for D-Mobile



Revenue Growth

- Recurring warranty premium
- Potential high-margin add-on product (extra attachment)



Customer Retention

- Warranty ties customers to D-Mobile
- Warranty can increase buy confidence (higher device sales)



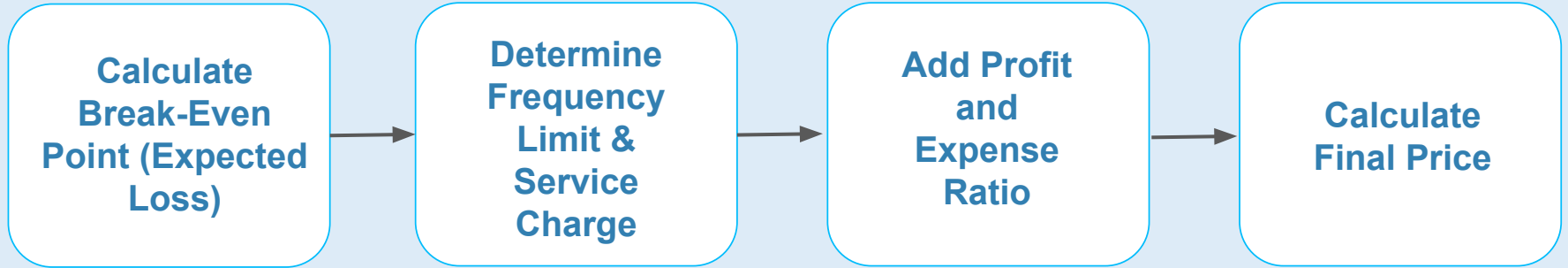
Data and Pricing Advantages

- Claims data improves future pricing models
- Allows for risk-based pricing by device type
- Helps optimize profitability

Product & Pricing Structure



Pricing Strategy



Expected Loss: The Break-Even Price

Calculate
Break-Even
Point (Expected
Loss)

$$\text{Expected Loss} = \sum (\text{frequency} \times \text{severity})$$

Frequency - How often a repair occurs / net number of people

Severity - How much each repair costs



Risk Management Strategy



Questions Asked:

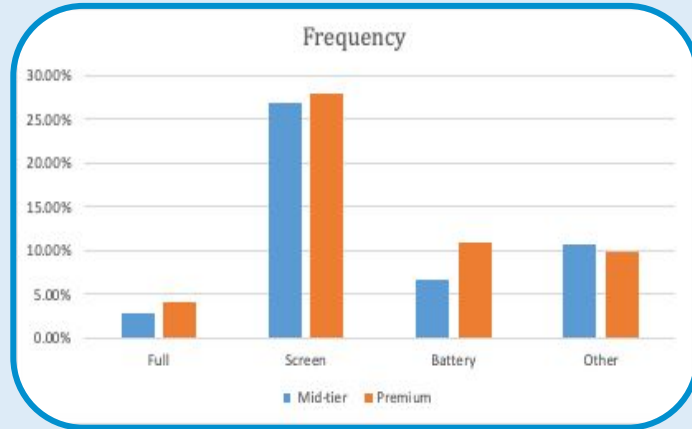
“Which groups are the riskiest to cover?”

“What claims happen the most frequently?”

“What are the most expensive claims to cover?”

“How can we become more risk averse?”

Risk Management Strategy



Price Per Repair:

	Full	Screen	Battery	Other
Mid-Tier	\$ 450	\$ 150	\$ 125	\$ 100
Premium	\$ 650	\$ 200	\$ 150	\$ 100

Total Cost of Each Type:

	Full	Screen	Battery	Other
Mid-Tier	\$ 9,000	\$ 27,900	\$ 5,875	\$ 7,400
Premium	\$ 18,200	\$ 38,800	\$ 11,400	\$ 6,800

Highest Total Cost: Screen Repair (\$27,900-\$38,800)

Highest Cost Per Repair: Full Repair (\$450-\$650)

Highest Frequency Claim : Screen Repair (54.83% of total claims)

Solution: Prevention through screen protectors

Risk Management Strategy

To manage warranty risk we implement:

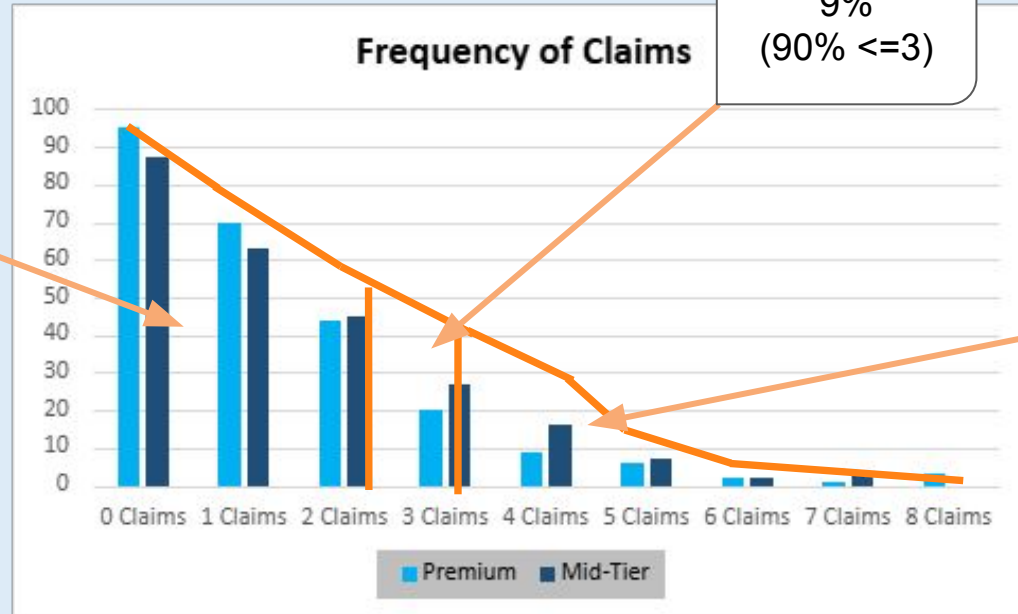
- Service Charge (Deductible):
Customers pay portion of repair cost
- Frequency Limit: Cap on number of claims per year
- Incentive Program:
Discount for students and family

These features reduce:

- Moral Hazard: The increased probability that a person will intentionally cause a loss
- Excessive Claims

Leveraging Data: Frequency Limit

81%



9%
(90% ≤ 3)

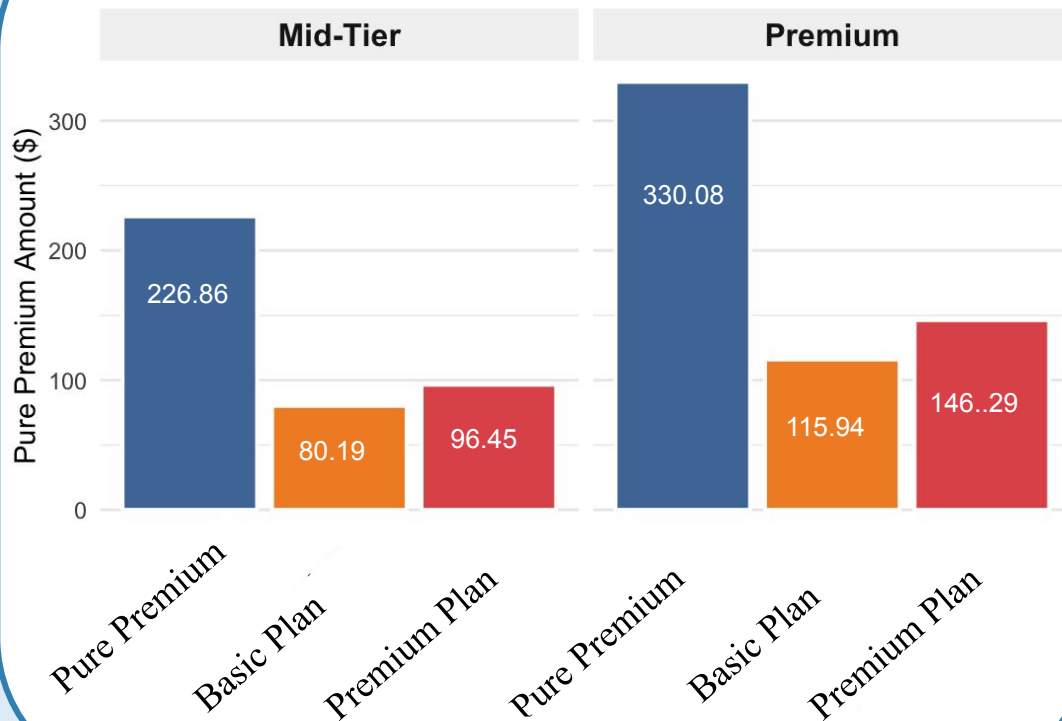
10% of claims
36% of costs

Leveraging Data: Service Charges

Type of Repair	Mid-Tier	Premium
Full Replacement	\$99	\$149
Screen Repair	\$29	\$29
Battery Repair	\$0	\$0
Other Repairs	\$99	\$99

Pure Premium Tier Comparison

Analysis of pricing adjustments by phone category



$$\text{Retail Premium} = \frac{\text{Pure Premium}}{1 - (\text{Profit Ratio} - \text{Expense Ratio} - \text{Risk Buffer})}$$

Pricing Build-Up

Profit Margin: 15%

- National Association of Insurance Commissioners
- Total CSR (Insurance Agency Training Program)

Expected Ratio: 20%

- Total CSR
- A Program of The Actuarial Foundation (Basic Training Scenario Mobile Phone Insurance)

Claim Prevention Cost: ~\$1/Per (+) Plan

- Repair Parts USA (as low as 0.13 ¢)

Mid-Tier Phone Protection Plans

Shield-Mobile

\$129.99/year (\$12.99/month)

- ✓ Screen, battery, and other repairs
- ✓ Up to 2 claims/year
- ✓ Free battery repairs
- ✓ Round-trip shipping included

Shield-Mobile +

\$149.99/year (\$14.99/month)

- ✓ All Protect Benefits
- ✓ Up to 3 claims/year
- ✓ 1 full replacement (\$99 deductible - save \$500)
- ✓ Free screen protector on purchase

Claim Type	Shield	Shield +	Deductible
Screen	✓	✓	\$29
Battery	✓	✓	\$0
Other	✓	✓	\$99
Full Repair	✗	✓	\$99

Premium Phone Protection Plans

Shield-Mobile

\$179.99/year (\$17.99/month)

- ✓ Screen, battery, and other repairs
- ✓ Up to 2 claims/year
- ✓ Free battery repairs
- ✓ Round-trip shipping included

Shield-Mobile +

\$229.99/year (\$22.99/month)

- ✓ All Protect Benefits
- ✓ Up to 3 claims/year
- ✓ 1 full replacement (*\$99 deductible - save \$850*)
- ✓ Free screen protector on purchase

Claim Type	Shield	Shield +	Deductible
Screen	✓	✓	\$29
Battery	✓	✓	\$0
Other	✓	✓	\$99
Full Repair	✗	✓	\$149

Stress Test Results

Best Case Scenario

No Claims Made

- Mid-Tier = $149.99 * \text{users}$
- Premium = $229.99 * \text{users}$
- Full Profit

Worst Case Scenario

3 Claims + 1 Full Replacement

- Mid-Tier = $280.02 * \text{users}$
- Premium = $451.81 * \text{users}$
- Negative Profit → lower cap

Family Plan



- Families save 10%
- Drives higher sales
- Still profitable
- Improves customer retention

Who Buys Our Product?

North



East



West



South



■ 25-65 ■ 1-17 ■ 18-25 ■ 65+

- 18-25 year olds buy in East and West
- 1-17 year olds buy in the North and South

Student discount

Mid-Tier

Shield-Mobile

\$116.99/year or \$11.70/month

- ✓ Screen, battery, and other repairs
- ✓ Up to 2 claims/year
- ✓ Free battery repairs
- ✓ Round-trip shipping included

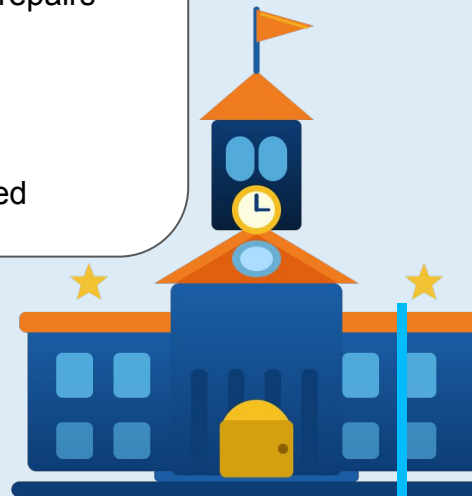


Premium

Shield-Mobile

\$161.99/year or \$16.19/month

- ✓ Screen, battery, and other repairs
- ✓ Up to 3 claims/year
- ✓ Free battery repairs
- ✓ Round-trip shipping included



Business Considerations



Operational Infrastructure

Customer Data & Warranty Enrollment



- IT
- Actuarial
- Product Development

- Collect Data- Customer & Device info
- Central Rating Database- Track Claim Patterns

Claims Processing & Customer Support



- Claims
- Customer Support
- Underwriting

- Submit Claim
- Support and Verify Coverage
- Automated Claim Review
- Warranty Management System

Repair and Replacement Network



- Operations
- Product Development
- IT

- Ship for Repair- Prepaid Shipping
- Repair Device- Diagnose & Fix
- Return & Record Claim

Marketing: Retail Distribution Approach

- Goal: Help customers visualize the risk of phone damage and the value of warranty protection
- Idea: Customers purchase phones through two distinct retail environments, and each requires a tailored marketing strategy

In-Store

- Direct interaction with a sales associate
- Opportunity for personal persuasion
- Naturally positioned as an add-on to the phone purchase



Online Purchase

- No salesperson interaction
- Marketing with visual prompts and add-ons
- Need to make it simple



Marketing: In-Store Retailing

Point-of-Sale Promotion

- Sales associate offering the phone will present the warranty at the time of purchase
- We can position the warranty as a natural extension of the phone purchase

Sales Associate Checklist:

- ☐ Introduce the warranty
- ☐ Highlight common risks
- ☐ Explain key benefits
- ☐ Ask for the Add-On



Marketing: Online Retailing

Online Checkout Integration

- Warranty offered during the online phone checkout process
- Displayed as a pop-up or add-on option before payment
- Provides clear coverage details and pricing



Performance Monitoring: Profitability and Loss Metrics

These metrics help evaluate whether the product is financial sustainable and whether the pricing will remain adequate over time

Loss Ratio:

$$\frac{\text{Losses}}{\text{Premium}}$$

-Measures whether the premium covers claim costs
Question: is the product profitable?

Pure Premium:

$$\frac{\text{Losses}}{\text{Exposures}}$$

-Measures the expected loss per insured device, detects changes in customer behavior
Question: How much does each phone cost to insure?

Claim Frequency

$$\frac{\text{Number of Claims}}{\text{Number of Exposure Units}}$$

-Measures how often customers file claims
-Question: Why are claims changing?

Performance Monitoring: Market Demand Metrics

These metrics help evaluate whether the product is successfully attracting customers and maintaining their loyalty over time

Adoption Rate

$$\frac{\text{Warranty Purchase}}{\text{Total Phone Purchases}}$$

- Measures how many customers purchase the warranty
- Question: Do customers want the product?

Retention Rate

$$\frac{\text{Warranty Renewals}}{\text{Eligible Renewals}}$$

- Percentage of customers renewing coverage
- Question: Are customers staying with us?

Performance Monitoring: Product Adjustments

Potential Changes: adjusting premium, service charge, frequency limit, improve marketing, new incentive plans, improve services

Metric Signal	Meaning	Potential Adjustment
↑ Loss Ratio (> 100%)	Claim costs is greater than premium	Increase premiums or deductible
↑ Pure Premium	Average expected claim cost per device is rising	adjust prices for certain phone models or coverage options
↑ Claim Frequency	Customers filing more claims than expected	Adjust claim limits
↓ Adoption Rate	Customers not buying product	Improve marketing
↓ Retention Rate	Customers not renewing	Create new incentive programs or improve services

Q&A

